

Climate Bond Framework of Athon in 2021

Introduction

Athon is a company that offers solutions for innovation and electricity generation from renewable sources, notably developing solar-based distributed energy resources. Founded in 2017, the company has its administrative headquarters in São Paulo/SP and operational activities in the states of Goiás, Maranhão, Rio de Janeiro, Minas Gerais and Pará. The company's mission is to **serve the transition for a sustainable world** through the generation of clean energy and the development of energy-efficient technology among other activities.

Athon is committed to serving the development of low carbon and renewable electricity matrix in Brazil, while promoting sustainable development in the communities near its projects.

In this process, Athon shall endeavor to attend its climate and environmental commitment through a structured assortment of measures:

- a) Contribute towards the generation of clean energy in a manner that mitigates negative social and environmental effects of the energy sector and builds up the positive impacts throughout the entire duration of its assets, from the project conception to its demobilization.
- b) Initiate and support measures to properly assess impacts and develop environmental and social projects that contribute to preserving the local ecosystems and to the sustainable development of the communities.
- c) Be transparent, ethical and fair to all stakeholders
- d) Generate awareness, share knowledge and support training programs on sustainable development among its whole network of relationships, including its executives, employees, suppliers, customers, communities, shareholders and other relevant stakeholders.

The Company is enhancing governance and procedures to advance its climate commitments, such as the compensation of its GHG emissions and the report of its climate risks.

Framework Overview

The Green CRI Framework ("Framework") sets out how the company proposes to use the proceeds of Green Bonds for construction of Eligible Green Projects in a manner consistent with the company's sustainable values and provide the transparency and disclosures investors need to make investment decisions.

The Green CRI Framework is established in accordance with Climate Bond Standard version 3.0.

This framework also adheres to the Green Bond Principles, 2016 by the International Capital markets Association (ICMA).

Use of Proceeds

The proceeds from the CRI will be allocated to SPVs which hold the following Distributed Generation solar photovoltaic power plants in the states of Rio de Janeiro, Pará and Maranhão:

- GOY 100, 200, and 300: PV power plants with a total capacity of 3.06 MWp, located in Campos dos Goytacazes/RJ, finalizing construction (COD on June/July 21).
- QSS 100 and 200 and GOY 701: PV power plants with a total capacity of 3.85 MWp, located in Quissamã/RJ and Campos dos Goytacazes/RJ, under construction.
- MAB 201, 202, 203, 204 and 205: PV power plants with a total capacity of 6.55 MWp, located in Marabá/PA, operational since May 2021.
- MRO 100: PV power plant with a total capacity of 6.42 MWp, located in Mãe do Rio/PA, under construction.
- MTS 100: PV power plant with a total capacity of 6.42 MWp, located in Matões/MA, under construction.

Such projects fit into CBI Taxonomy for Solar Energy because they include onshore photovoltaic electricity generation facilities and dedicated supporting infrastructure including inverters, transformers, energy storage systems, and control systems.

The resources will be fully allocated to the development and construction of electricity generation plants from solar power, which reduce the emission of greenhouse gases and contribute to the Brazilian commitments before the Paris Agreement of expanding the share of renewable sources in its energy matrix (other than hydropower plants).

Selection and Evaluation of Eligible Green Projects

The development or acquisition of a project is preceded by a due diligence to assess the project's compliance with social and environmental requirements. The objective of the assessment is to assure that the project is eligible as a green project based on the above framework.

A Project Assessment Committee was created to ensure that all significant aspects are considered. Such Committee comprises Athon's CEO, COO, Environment and Land Coordinator, Connection Coordinator, Human Resources and Proceedings Coordinator and Projects Coordinator.

In this analysis, main social and environmental aspects are considered, such as adequacy of the land, compliance with laws referring to environmental impacts and protection, reduced use of water resources and vegetation removal and compliance with human rights and health, safety and environmental best practices. When possible, the Committee shall signal any non-compliance and promote its timely correction.

Management of Proceeds

The proceeds will be used exclusively for future expenses or reimbursements of the project's Capex (58,52% of its proceeds will be allocated to future expenses and 41,48% to reimbursements), with the direct allocation of the proceeds to the SPVs.

The company shall invest the temporary unallocated proceeds on high liquidity instruments, namely public debt securities ("*Letras Financeiras do Tesouro*"), bank deposit certificates ("*Certificados de Depósitos Bancários*") or other fixed income instruments that do not include greenhouse gas projects - inconsistent with the low carbon and climate-resilient economy.

Reporting

Over the loan life, Athon will monitor and report on its website (<http://www.athonenergia.com.br/>) the environmental and financial information of the related projects (see "Use of proceeds") to assure that the transaction is compliant with the framework. The Company is committed to providing the following information:

- i. Use of proceeds: transaction's amount allocated between the projects and balance of proceeds yet to be used;
- ii. Environmental impacts: status of development and environmental licensing of the projects, annual production and installed capacity, reduction of greenhouse gases emissions and generation density (W/m²); and
- iii. Social impacts: estimated jobs created near the projects, impact on the local economy and the community.

Assurance

Athon's Green Bond framework work will be verified by SITAWI Finance For Good and certified by Climate Bonds Initiative for the inaugural Green Bond issue. This will be published on Athon's website.

Athon will also get post issuance certification from the Climate Bonds Initiative to assure the Use of Proceeds allocation, ongoing eligibility of the projects and assets, adequacy and output of the Issuer's internal control and systems and the use of funds not yet allocated as per the framework established. Post issuance verification will be completed within one year after issuance of bond and published on Issuer's website.

Disclaimer

The certification of the **CRI** as Climate Bonds by the Climate Bonds Initiative is based solely on the Climate Bond Standard and does not, and is not intended to, make any representation or give any assurance with respect to any other matter relating to the **CRI** or any Nominated Project, including but not limited to the Information Memorandum, the transaction documents, the Issuer or the management of the Issuer.

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In issuing or monitoring, as applicable, the certification, the Climate Bonds Initiative has assumed and relied upon and will assume and rely upon the accuracy and completeness in all material respects of the information supplied or otherwise made available to the Climate Bonds Initiative. The Climate Bonds Initiative does not assume or accept any responsibility to any person for independently verifying (and it has not verified) such information or to undertake (and it has not undertaken) any independent evaluation of any Nominated Project or the Issuer. In addition, the Climate Bonds Initiative does not assume any obligation to conduct (and it has not conducted) any physical inspection of any Nominated Project. The certification may only be used with the **CRI** and may not be used for any other purpose without the Climate Bonds Initiative's prior written consent.

The certification does not and is not in any way intended to address the likelihood of timely payment of interest when due on the **CRI** and/or the payment of principal at maturity or any other date.

The certification may be withdrawn at any time in the Climate Bonds Initiative's sole and absolute discretion and there can be no assurance that such certification will not be withdrawn.